

FEDERAL MARITIME COMMISSION

+ + + + +

REVOCATION OF LICENSE NO. 017843
WASHINGTON MOVERS, INC.

+ + + + +

WEDNESDAY, MARCH 23, 2016

+ + + + +

The Hearing of the Federal Maritime Commission convened in the First Floor Hearing Room, 800 North Capitol Street, N.W., Washington, D.C., pursuant to notice at 10 00 a.m , JUDGE CLAY G. GUTHRIDGE, presiding.

On behalf of Agency:

BRIAN L. TROIANO, DEPUTY DIRECTOR
BRENDA DOTY, ESQUIRE
Bureau of Enforcement
Federal Maritime Commission
800 North Capitol Street, Northwest
Washington, D.C. 20573
(202) 523-5783

On behalf of Respondent:

RAJ H. PATEL, ESQUIRE
Doumar Martin PLLC 2000
North 14th Street, Suite 210
Arlington, Virginia 22201
(703) 243-3737

* * * * *

1

C O N T E N T S

2

FMC EXHIBITS:

3

No. 1 - 12/23/13 criminal complaint; Case
Number 13-3043CEB

4

No. 2 - Judgment in Case Number 13-3053CEB

5

No. 3 - Dock receipt, vehicle title, MSC
booking receipt and confirmation

6

No. 4 - 2015 Commonwealth of VA State Corp.
Commission annual report of
Washington Movers

7

No. 5 - Proposed Motion to Extend; Case
No. 13-3043CEB

8

No. 6 - Commonwealth of VA State Corp.
Commission certificate of fact
regarding name change

9

No. 7 - Maryland Dept. of Assessments and
Taxation notice of name change with
attachments

10

No. 8 - Affidavit of Sandra L. Kusumoto

12

RESPONDENT EXHIBITS:

13

A - 12/31/13 Stock Transfer Agreement

14

B - 1/1/14 Director's Consent to Transfer
Shares

15

C - Washington Movers International business
entity details

16

D - 2015 annual report for Washington
Movers International, including
instructional page

17

E - 2/24/16 corporate certificate of liability
ins.

18

F - 11/20/15 Commonwealth of VA State Corp.
Commission statement of change of registered
office and/or agent

19

20

21

* * * * *

22

1 P R O C E E D I N G S

2 JUDGE GUTHRIDGE: Let's go on the record
3 please. This is the matter of revocation number
4 -- I better get my glasses out so I can read
5 everything -- 017843 Washington Movers. It's on
6 an Order to Show Cause issued by the Commission.
7 Could I have appearances for counsel please?

8 MR. TROIANO: Good morning, Your Honor.

9 JUDGE GUTHRIDGE You can remain seated.

10 MR. TROIANO: Thank you. Brian Troiano;
11 I'm representing the Bureau of Enforcement.

12 JUDGE GUTHRIDGE: You can remain seated
13 too.

14 MS. DOTY: Brenda Doty; I'm with the
15 Bureau of Enforcement as well.

16 MR PATEL: Raj Patel for Washington
17 Movers.

18 JUDGE GUTHRIDGE: Oh, wait, are the
19 microphones on?

20 MR. PATEL Mine wasn't, Your Honor

21 JUDGE GUTHRIDGE: Did you get everything
22 okay, though?

1 COURT REPORTER: I did.

2 JUDGE GUTHRIDGE: Okay. All right. The
3 Show Cause Order that was issued by the Commission
4 directed Washington Movers to show cause why its
5 OTI license should not be revoked because of the
6 felony convictions of its owner, president, and
7 QI, meaning qualifying individual, acting through
8 the ocean transportation intermediary business of
9 Washington Movers, the failure of Washington
10 Movers to report material changes in fact, and the
11 failure to obtain prior approval for a change in
12 corporate name, and to show cause why that did not
13 render the licensee no longer qualified to render
14 ocean transportation intermediary services.

15 The Washington Movers filed a Reply to
16 the Show Cause Order and attached a couple of
17 exhibits to it; it's called Exhibit 1 and 2. One
18 was a stock transfer agreement dated December 31
19 '13, and the other was the Director's consent to
20 transfer shares dated January 1, 2014. By the
21 way, turn off your cell phones if you haven't
22 already done so. Okay

1 I have taken the liberty of renumbering
2 the Washington Movers Exhibits or
3 re-characterizing them as Exhibits A and B, A
4 being the stock transfer agreement and B being the
5 consent to transfer. Mr. Troiano, in your
6 memorandum to the Commission I think is where you
7 said that you suggested that we should be suitably
8 wary of these documents. What did you mean by
9 that?

10 MR. TROIANO: We have examined evidence
11 which indicates that those may not be truthful.
12 We have evidence indicating that that transfer of
13 ownership or the removal of Mr. Ghanem did not
14 occur when those documents said it occurred.

15 JUDGE GUTHRIDGE: You know, I think that
16 actually the Commission sort of characterized it
17 as BOE challenges the veracity of the factual
18 representations. Mr. Patel, those were generated
19 on a computer, weren't they?

20 MR PATEL: Yes, sir.

21 JUDGE GUTHRIDGE: Okay. I'm not a
22 computer expert, but would metadata confirm when

1 those documents were created?

2 MR. PATEL: To be sure, I'm not 100
3 percent certain, but if it does we would be happy
4 to provide any metadata or information confirming
5 when those documents were produced.

6 JUDGE GUTHRIDGE: Well, I guess, yeah,
7 if it does or if it doesn't, you know.

8 MR. PATEL: Right, yes, sir.

9 JUDGE GUTHRIDGE: Okay. So you would
10 produce that?

11 MR. PATEL. Yes, sir.

12 JUDGE GUTHRIDGE: Okay. All right.

13 And, Mr. Troiano, given that representation, do
14 you have any objection to the admission of A and B
15 as part of the record?

16 MR. TROIANO: Of A and B as they stand
17 now?

18 JUDGE GUTHRIDGE: As they stand now.

19 MR. TROIANO: No.

20 JUDGE GUTHRIDGE: Okay. All right

21 MR. TROIANO: That of course does not
22 mean we would not challenge it

1 JUDGE GUTHRIDGE: Yes, exactly. But I
2 mean we are here --

3 MR. TROIANO: But your question went to
4 the admission. Admission of those documents as
5 Exhibits.

6 JUDGE GUTHRIDGE: That's correct.

7 MR. TROIANO: Okay.

8 JUDGE GUTHRIDGE: Now BOE filed a
9 response to Washington Movers response to the Show
10 Cause Order and attached seven Exhibits, or
11 identified seven Exhibits plus a verified
12 statement of Sandra L. Kusumoto And I kept those
13 numbers of the Exhibits 1 through 7 in the
14 response and gave Miss Kusumoto's Affidavit,
15 called that Exhibit 8. Exhibit 1 was United
16 States v. Sam Rafic Ghanem. Is that how it's
17 pronounced, Mr. Patel, Ghanem?

18 MR. PATEL: I think so. Yes, Ghanem is
19 right.

20 JUDGE GUTHRIDGE: Case number
21 13-3043CEB, District of Court of Maryland,
22 December 23, 2013, a criminal complaint Does

1 Washington Movers have any objection to the
2 admission of that?

3 MR. PATEL: No, Your Honor.

4 JUDGE GUTHRIDGE: All right. Exhibit 2
5 is United States v. Sam Rafic Ghanem, same case
6 number, the judgment in a criminal case. Does
7 Washington Movers have any objection to the
8 admission of that?

9 MR. PATEL: No, Your Honor.

10 JUDGE GUTHRIDGE: Exhibit 3 was a dock
11 receipt, vehicle title, Mediterranean Shipping
12 Company booking receipt, and MSC booking
13 confirmation. So collected together. Mr.
14 Troiano, do you know who prepared the dock
15 receipt? I couldn't figure that out

16 MR. TROIANO: Who prepared the dock
17 receipt?

18 JUDGE GUTHRIDGE: Yes. Yes.

19 MR. TROIANO: No, I don't want to
20 misspeak myself so I'm not going to --

21 JUDGE GUTHRIDGE: I'm not sure that it's
22 essentially -- that's it's necessarily critical

1 that we know that, but I just was curious. I
2 didn't see anything on there.

3 Mr. Patel, does Washington Movers have
4 any objection to the admission of Exhibit 3?

5 MR. PATEL: Only to the extent that we
6 would want more information to see if somebody
7 else in the company prepared it or this was just
8 Sam acting --

9 JUDGE GUTHRIDGE: All right. I'm not
10 even sure that Washington Movers prepared the
11 documentation. I mean -- and I think, Mr.
12 Troiano, there are going to be other documents
13 seem to have been prepared -- well, one of them
14 was the Commonwealth of Pennsylvania Certificate
15 of Salvage for a vehicle that seems to have been
16 prepared by the State of Pennsylvania.

17 MR. TROIANO: Pennsylvania?

18 JUDGE GUTHRIDGE: No.

19 SPEAKER. Pennsylvania.

20 JUDGE GUTHRIDGE: It's not a
21 Commonwealth.

22 SPEAKER: Commonwealth. Yes, it is.

1 JUDGE GUTHRIDGE: Is it?

2 SPEAKER: Yeah.

3 JUDGE GUTHRIDGE: So there --

4 SPEAKER: Pennsylvania, Kentucky,
5 Virginia --

6 JUDGE GUTHRIDGE: Massachusetts.

7 MR. PATEL: Massachusetts Commonwealth.

8 JUDGE GUTHRIDGE. Yeah, I was thinking
9 there were three. Then the other Exhibits are --
10 or the other documents seem to have been prepared
11 by Mediterranean Shipping Company, except maybe
12 the last one was prepared by Seagirt Marine, the
13 interchange 4745.

14 MR. TROIANO. Yeah, that would have been
15 prepared by those folks

16 JUDGE GUTHRIDGE: Okay But anyway,
17 there is no objection from Washington Movers for
18 recognition of those?

19 MR. PATEL: I have no objections, Your
20 Honor.

21 JUDGE GUTHRIDGE. Exhibit 4 was the 2014
22 Commonwealth of Virginia State Corporation

1 Commission Annual Report for Washington Movers
2 International, Inc Any objection to that?

3 MR. PATEL: No, Your Honor.

4 JUDGE GUTHRIDGE: Okay. Exhibit 5 is
5 the United States v. Sam Ghanem again in District
6 Court of Maryland, Proposed Motion to Extend to
7 the Date for Voluntary Surrender with letter. Any
8 objection?

9 MR. PATEL: No, Your Honor. It was the
10 Virginia State Corporate Commission's document the
11 one from 2013 or the --

12 JUDGE GUTHRIDGE: It was 2014

13 MR. PATEL: 2014. We would like to also
14 admit the one from this year as well alongside
15 that document.

16 JUDGE GUTHRIDGE: The 2015 one?

17 MR. PATEL: Yes, sir.

18 JUDGE GUTHRIDGE: We'll get to that.

19 MR. TROIANO: Okay.

20 JUDGE GUTHRIDGE: That was their
21 Exhibit. 2014 was there, 2015 with yours.

22 Exhibit 6, Commonwealth of Virginia

1 State Corporation Commission Certificate of Fact
2 regarding name change from Washington Movers, Inc.
3 to Washington Movers International, Inc. Any
4 objection? And I'm assuming since you all
5 submitted them, Mr. Troiano, you don't have any
6 objection to the admission of any of these?

7 MR. TROIANO: No, we don't.

8 JUDGE GUTHRIDGE: Okay. Number 7 was --
9 Exhibit 7 is Maryland Department of Assessments
10 and Taxation Business Services Notice of Name
11 Change from Washington Movers, Inc to Washington
12 Movers International, Inc. with attachments. Any
13 objection?

14 MR. PATEL: No, Your Honor.

15 JUDGE GUTHRIDGE: Okay. And Number 8,
16 November 17, 2015 verified statement of Sandra L.
17 Kusumoto.

18 MR. PATEL: No objections, Your Honor.

19 JUDGE GUTHRIDGE: All right. So those
20 eight BOE Exhibits are admitted. Mr. Troiano,
21 anymore BOE Exhibits that you might want to
22 submit, the next one should be nine and on from

1 that.

2 MR. TROIANO: Okay.

3 JUDGE GUTHRIDGE: So we can sort of have
4 them consecutive like that.

5 On November 24, 2015 Washington Movers
6 filed a reply to BOE's memo with two more
7 exhibits, numbered 1 and 2, I've changed those to
8 be Exhibits C and D. C is the Washington Movers
9 International business entity details prepared by
10 the Commonwealth of Virginia State Corporation
11 Commission.

12 Mr. Troiano, Do you have any objection
13 to admission of that?

14 MR. PATEL: No objection

15 JUDGE GUTHRIDGE: All right. And I've
16 given -- Exhibit 2 I've characterized as
17 Washington Movers Exhibit D. It's the 2015 annual
18 report, Commonwealth of Virginia State Corporation
19 Commission annual report for Washington Movers
20 International, Inc submitted by Washington Movers.

21 Any objection to that, Mr. Troiano?

22 MR. TROIANO: No objection.

1 JUDGE GUTHRIDGE: And Exhibit D was also
2 submitted as I think Exhibit 3 in the response to
3 the initial order, Mr. Patel. And in the initial
4 order it had a third page called annual report
5 instructions that I've made part of Exhibit D. I
6 mean the two pages of the report were identical it
7 seemed to me.

8 MR. PATEL: I'm sorry, Your Honor.

9 JUDGE GUTHRIDGE: This would be your
10 Exhibit 3 to your response to the initial order.

11 MR. PATEL: Yes, Your Honor, we have no
12 objections that the instructions part --

13 JUDGE GUTHRIDGE: As part of the -- Mr.
14 Troiano, you follow what I'm doing here?

15 MR. TROIANO: You're just adding that --
16 the instruction page --

17 JUDGE GUTHRIDGE. Right.

18 MR. TROIANO: -- and making it part of
19 Exhibit D?

20 JUDGE GUTHRIDGE. Yes.

21 MR. TROIANO: No objections.

22 JUDGE GUTHRIDGE: And then we're not

1 going to need the second time it was submitted.
2 That won't become one of the Exhibits.

3 All right. Then Washington Movers
4 replied to the initial order, there were four
5 Exhibits, the third one being that 2015 report we
6 were just talking about, but Exhibit 1 I've
7 characterized as Exhibit E, electronic Federal tax
8 payment system information, February 24, 2016.
9 And, Mr. Troiano, do you have any objection to
10 the admission of that Exhibit?

11 MR. TROIANO: No objection. Your Honor,
12 you're going to re-label this as E?

13 JUDGE GUTHRIDGE: E, "echo". Then there
14 was Exhibit 2 attached to the reply. It was a
15 corporation certificate of liability insurance for
16 Washington Movers Norma Ghanem International,
17 Inc., which is the way it is on the form, dated
18 February 26, 2016. Do you have any objections to
19 admission of that?

20 MR. TROIANO: No objection.

21 JUDGE GUTHRIDGE: And that's Exhibit F
22 Then Exhibit G was Commonwealth of Virginia State

1 Corporation Commission statement of change of
2 registered office and/or registered agent change,
3 dated November 20, 2015 Any objection -- and I
4 characterized that as Exhibit G, "golf".

5 MR TROIANO: So this will be the same
6 as Exhibit D, is that correct? This is the --

7 JUDGE GUTHRIDGE: No. This is Exhibit
8 4. I'm sorry. I skipped three.

9 MR. TROIANO: Oh, we skipped over 3?

10 JUDGE GUTHRIDGE Yeah, I meant four. I
11 may have said three.

12 MR. TROIANO. No objection.

13 JUDGE GUTHRIDGE: Okay. So that's
14 Exhibit G. And likewise, Mr. Patel, for
15 Washington Movers any further Exhibits, the next
16 one you submit which should be H and on from
17 there.

18 MR. TROIANO Your Honor, just for
19 clarification. I've got all the numbers and
20 letters, will they be labeled as BOE Exhibit 1 or
21 just Exhibit --

22 JUDGE GUTHRIDGE: I'm sorry, yes, BOE

1 Exhibit 1, Exhibit 2, Washington Movers -- and I
2 can get -- Mr. Riveness has a copy of what I've
3 just been going through.

4 MR. TROIANO: Okay.

5 JUDGE GUTHRIDGE: And on those I just
6 put the FMC number 15-10 and then BOE Exhibit 1 or
7 WM Exhibit A. That's how I've been marking them.

8 Okay. The Commission issued an order
9 sending this case to the Office of the
10 Administrative Law Judges to consider whether
11 further submissions are necessary to determine
12 whether an evidentiary hearing is warranted, to
13 make factual findings, and to issue an initial
14 decision regarding revocation of Washington
15 Movers' OTI license. That was in the order of
16 February 12, 2016. And as I was going through
17 this in order to -- it occurred to me that in
18 order to decide whether further submissions are
19 necessary it would be helpful to go through and
20 see what the submissions that are already there,
21 what facts are proven by them.

22 And so I've gone through and I've made

1 some you might say preliminary factual findings
2 that I'm going to run through one by one and see
3 if there are any objections to any of these.
4 Number 1, and this is starting at the beginning,
5 respondent Washington Movers, Inc., or referred to
6 as Washington Movers, is a Virginia corporation
7 incorporated July 11, 1996. And that's in BOE
8 Exhibit 7.

9 MR. PATEL: No objections, Your Honor.

10 JUDGE GUTHRIDGE: Two, at the time of
11 its incorporation Sam R. Ghanem, also referred to
12 as Sam Ghanem, was its owner and president. Now
13 the fact that he was the owner and president then
14 I didn't find really in there, but both of you I
15 think have said that in your papers Is there any
16 dispute as to that?

17 MR TROIANO: At the time of its
18 incorporating?

19 JUDGE GUTHRIDGE: Yes

20 MR TROIANO: I don't.

21 JUDGE GUTHRIDGE: Okay. All right.

22 Since July 6, 2005 Washington Movers was qualified

1 to do business as a foreign corporation in the
2 State of Maryland. That's BOE Exhibit 7. Any
3 problem?

4 MR. PATEL: No objections, Your Honor.

5 JUDGE GUTHRIDGE: Okay. Four,
6 Washington Movers has been licensed by the
7 Commission to operate as an ocean transportation
8 intermediary, or OTI, since April 8, 2003 as an
9 ocean freight forwarder and as a non vessel
10 operating common carrier since June 29, 2005.
11 That's in BOE Exhibit 8, paragraph 6. Any
12 objection, any dispute?

13 MR. PATEL: No, Your Honor.

14 JUDGE GUTHRIDGE: Okay Five, when
15 Washington Movers submitted its application to
16 become licensed as an OTI it told the Commission,
17 Bureau of Certification and Licensing, or BCL,
18 that it maintained its principle offices at 7913
19 Cryden Way, Forestville, Maryland 20147. That's
20 in BOE Exhibit 8, paragraph 5. Any problems?

21 MR. PATEL: No objection, Your Honor.

22 JUDGE GUTHRIDGE: Cryden by the way is

1 C-R-Y-D-E-N. Six. In its application for an OTI
2 license Washington Movers identified Sam Ghanem as
3 the principal of the firm and as sole owner and
4 president. And that's in BOE Exhibit 8, paragraph
5 5.

6 SPEAKER: No objections.

7 JUDGE GUTHRIDGE: Were any other persons
8 named as directors or officers in that? I haven't
9 seen the FMC 18 at this point. Anybody else on
10 the application, Mr. Troiano?

11 MR. TROIANO: No, there wasn't. He was
12 the sole individual identified.

13 JUDGE GUTHRIDGE: Okay. Should the FMC
14 18 be part of the record or the -- any necessity
15 in that?

16 MR. TROIANO: Well, it dates back to --

17 JUDGE GUTHRIDGE: Yeah, a long time ago.
18 I understand.

19 MR. TROIANO: Yeah. I don't have any
20 problem with making it part of the record.

21 JUDGE GUTHRIDGE: If there's no dispute
22 as to that, that he was identified as the

1 principal of the firm and as sole owner and
2 president I guess there's really no need to make
3 it. But if it were to be made be careful to take
4 out personally identifiable information in there,
5 okay. It does call for Social Security numbers
6 and such things.

7 MR. TROIANO: Understood.

8 JUDGE GUTHRIDGE: Seven, in its
9 application for an OTI license Washington Movers
10 identified Sam Ghanem as Washington Movers'
11 qualifying individual, or QI. And that's in BOE
12 Exhibit 8, paragraph 5. Any dispute?

13 MR. PATEL: No objections, Your Honor.

14 JUDGE GUTHRIDGE: Sam Ghanem has been
15 the only Commission approved qualifying individual
16 for Washington Movers. And that's sort of implied
17 in Ms. Kusumoto's affidavit. I don't think she --
18 I didn't find where she stated that affirmatively,
19 but is there any dispute as to that?

20 MR. TROIANO: Washington Movers has a
21 pending FMC 18 at the moment, but Sam Ghanem was
22 the previous qualifying individual.

1 JUDGE GUTHRIDGE: And nobody else has
2 been named by the Commission as a QI?

3 MR. TROIANO: No, no, no.

4 MR. PATEL: No.

5 JUDGE GUTHRIDGE: Nine, Washington
6 Movers changed its name to Washington Movers
7 International, Inc. effective November 7, 2008.
8 That's in BOE Exhibit 7. Any dispute as to that?

9 MR. PATEL: No objections, Your Honor.

10 JUDGE GUTHRIDGE. On July 11, 2013
11 Washington Movers filed its name change with the
12 Department of Assessments and Taxation for the
13 State of Maryland. That's BOE Exhibit 7. Any
14 dispute as to that?

15 MR. PATEL: No disputes.

16 JUDGE GUTHRIDGE: Mr. Patel, did
17 Washington Movers notify the Commission of its
18 name change?

19 MR. PATEL: I'm unaware they did at --
20 when they actually changed it back in 2008?

21 JUDGE GUTHRIDGE. Right. At any time
22 between 2008 and the present?

1 MR. PATEL: I don't think so.

2 JUDGE GUTHRIDGE: So it would be fair to
3 conclude from that Washington Movers did not
4 notify the Commission that it had changed its
5 name?

6 MR. PATEL. Yes, Your Honor.

7 JUDGE GUTHRIDGE: And then did -- and
8 would it also be fair to conclude that Washington
9 Movers did not file a revised bond with the
10 Commission reflecting its amended corporate name?

11 MR. PATEL. I don't know, Your Honor, if
12 they did or they didn't in 2008.

13 JUDGE GUTHRIDGE: Okay. I will be
14 putting that in here and these are not final. If
15 there's something that comes up until -- any time
16 before there is a decision in this case, but if
17 you should find something, Mr Patel, that would
18 be a cause that you require to reconsider clearly
19 let us know.

20 Thirteen, on December 21, 2013 at the
21 Washington Movers facility Sam Ghanem and
22 Washington Movers' employees concealed weapons in

1 the doors and cut out parts of salvaged motor
2 vehicles and loaded the vehicles into a shipping
3 container. That's in BOE Exhibit 1, paragraph 19.

4 MR. PATEL: We would dispute that to the
5 extent that we aren't aware who else in Washington
6 Movers was ever part of Mr. Ghanem's conduct or if
7 he acted by himself.

8 JUDGE GUTHRIDGE: The FBI -- Exhibit 1
9 is the FBI affidavit in support of the criminal
10 complaint, isn't that?

11 MR TROIANO: That's correct

12 JUDGE GUTHRIDGE: And that's what the
13 FBI agent stated. Do you -- at this point, as we
14 sit here today, do you have any --

15 MR. PATEL: No objections. We would ask
16 that, you know, testimony if available from
17 anybody who is accused to participate in the
18 actions along with Sam be presented to the
19 Commission. Nobody else -- at least to the best
20 of my information was charged or participated.
21 But otherwise --

22 JUDGE GUTHRIDGE: Is your mic on?

1 MR. PATEL: Sorry. I think I'm sitting
2 a little bit -- okay.

3 JUDGE GUTHRIDGE: I'll put that in there
4 and as I said before if there's something that
5 develops that can be reconsidered, these are not
6 -- you know, I'm not writing these in stone.

7 MR. PATEL: No, definitely other -- no
8 objections to the affidavit

9 MR. TROIANO: Your Honor, I just want to
10 make clear that we're not prepared to re-litigate
11 the criminal proceeding. That's --

12 JUDGE GUTHRIDGE: Oh, I understand that,
13 but I don't think that the criminal -- the jury
14 made any finding as to whether -- I would imagine
15 it didn't make any finding, or it certainly wasn't
16 part of the verdict that other Washington Movers
17 employees participated. That's the point I think
18 that Mr. Patel is making So, you know, that
19 might be something that -- that you understand the
20 FBI affidavit says there were other employees, but
21 if they come up with some sort of evidence to
22 contradict that then it might be something that

1 becomes in dispute.

2 MR. TROIANO: That's fine.

3 JUDGE GUTHRIDGE: Okay. A dock receipt
4 was created -- and that's what we were talking
5 about earlier, I'm not sure exactly who did that
6 -- identifying Washington Mover, Inc. -- that's
7 "Mover" without an "s" in that -- as the exporter
8 of the container with salvaged motor vehicle and
9 parts And that's BOE Exhibit 3. Is there any
10 dispute as to that?

11 MR. PATEL: No, Your Honor.

12 JUDGE GUTHRIDGE: Mediterranean Shipping
13 Company, or MSC, issued a booking receipt
14 identifying Washington Movers, with an s, as the
15 shipper of the container with the salvaged motor
16 vehicle and parts. And that's also in BOE Exhibit
17 3. Any dispute as to that?

18 MR. PATEL. No, Your Honor.

19 JUDGE GUTHRIDGE: MSC issued a booking
20 confirmation identifying "Washington Movers with
21 contact Sandra" and a telephone number as the
22 shipper of the salvaged motor vehicle and parts.

1 That's also BOE Exhibit 3. Any dispute as to
2 that?

3 MR PATEL: No objections, Your Honor.

4 JUDGE GUTHRIDGE: MSC took the booking
5 on December 19, 2013. And that's in BOE Exhibit
6 3, third page of the booking confirmation. Any
7 dispute as to that?

8 MR. PATEL: No objections, Your Honor.

9 JUDGE GUTHRIDGE: The booking
10 confirmation indicates the shipment was being
11 transported pursuant to service contract number
12 13-306WW. And that's also in BOE Exhibit 3. Is
13 there any dispute as to that?

14 MR. PATEL No, Your Honor.

15 JUDGE GUTHRIDGE: I assume that's a
16 Washington Movers' service contract? Do you know,
17 Mr Patel or Mr Troiano?

18 MR. TROIANO: Your Honor, I am assuming
19 it is too, but I'm not sure about that number.

20 JUDGE GUTHRIDGE: I'm looking at MSC --

21 MR TROIANO: Yes. I see the number and
22 I've looked at various MSC service contracts with

1 Washington Movers. That particular number doesn't
2 ring a bell, but I'm only saying it doesn't ring a
3 bell in my head.

4 JUDGE GUTHRIDGE: All right. Okay. Do
5 you know who signed the 2013 -- the one that was
6 in effect when the shipment was attempted?

7 MR. TROIANO: Who signed the contract?

8 JUDGE GUTHRIDGE: Who signed the
9 contract for Washington Movers?

10 MR. TROIANO: I can speculate, but I
11 can't say that I know.

12 JUDGE GUTHRIDGE. Do you know, Mr. Patel
13 or Mr. Troiano, was there a service contract
14 between Washington Movers and MSC for 2014?

15 MR. PATEL: I know we can definitely
16 provide representatives from MSC and Washington
17 Movers that can confirm that, but at this point
18 I'm not sure.

19 JUDGE GUTHRIDGE Mr. Troiano, do you
20 know.

21 MR. TROIANO: There was a service
22 contract in effect between MSC and Washington

1 Movers. Whether or not it's that one, I'm --

2 JUDGE GUTHRIDGE. I understand in
3 December 2013 this one was in effect or maybe it's
4 another number, who knows.

5 MR. TROIANO: They did have other
6 contracts in effect in 2014 with MSC.

7 JUDGE GUTHRIDGE: The reason I ask is
8 it's my understanding from what little I know
9 about service contracts is generally they seem to
10 run May 1 to April 30.

11 MR. PATEL: That's the general pattern,
12 yes.

13 JUDGE GUTHRIDGE: And my question is did
14 Washington Movers enter into a service contract
15 with MSC or anybody else that would have begun May
16 of 2014?

17 MR. TROIANO: Yes.

18 JUDGE GUTHRIDGE: They did? Do you know
19 who signed?

20 MR. TROIANO: Sam Ghanem.

21 JUDGE GUTHRIDGE: Sam Ghanem signed the
22 service contract in 2014?

1 MR. TROIANO: Yes.

2 JUDGE GUTHRIDGE: Was there another one
3 in 2015?

4 MR. TROIANO: That --

5 JUDGE GUTHRIDGE: And I assume that you
6 could make that part of the record?

7 MR. TROIANO: We will. There were
8 service contracts in effect. I don't know who
9 signed them.

10 JUDGE GUTHRIDGE. All right. And when I
11 say make it part of the record, I think all that
12 would be essential was like the first couple of
13 pages. We don't need, you know, 5000 pages of
14 freight rates.

15 MR. TROIANO: That was one of my
16 questions for this morning, Your Honor. We will
17 be submitting contracts that were signed by Mr.
18 Ghanem, however, as you may note some service
19 contracts have a boilerplate couple of pages. Our
20 interest is really only in submitting the
21 signature pages.

22 JUDGE GUTHRIDGE: You know, whatever,

1 the first couple of -- whatever shows it's between
2 Washington Movers and MSC and the signature page.
3 That's what I'd be interested. You know, I've
4 gotten them before us. You've given them to me
5 before --

6 MR. TROIANO: Yes.

7 JUDGE GUTHRIDGE: -- with, you know,
8 what seems like hundreds of pages of city pairs
9 and freight rates and that's not relevant to this
10 proceeding.

11 MR. TROIANO: But we would like to avoid
12 having to submit all the rate pages and --

13 JUDGE GUTHRIDGE: I would like to avoid
14 having to read them and I'm sure Rachel Dickon
15 would like to avoid having to store them. So --

16 MR. PATEL: So just to clarify, for any
17 of the contracts that we submit, just the
18 signature pages?

19 JUDGE GUTHRIDGE: Well, certainly enough
20 to show who it's with and everything.

21 MR. PATEL: Right

22 JUDGE GUTHRIDGE: Right Okay Did

1 Washington Movers have any service contracts with
2 any other vessel operating common carriers?

3 MR. TROIANO: Yes, they did.

4 JUDGE GUTHRIDGE: And we will know who
5 signed those also?

6 MR. TROIANO: Yes, we will

7 JUDGE GUTHRIDGE: Particularly the ones
8 after the beginning of 2014?

9 MR. TROIANO: Yes. Yes.

10 JUDGE GUTHRIDGE: Okay. Okay. All
11 right. The next finding of fact I have on here
12 was 19, that after the containers were loaded law
13 enforcement officers arrested Sam Ghanem. That's
14 BOE Exhibit 1, paragraph 21.

15 MR. PATEL. No objections, Your Honor.

16 JUDGE GUTHRIDGE: Twenty, during his
17 Mirandized post-arrest statement Sam Ghanem
18 admitted to unlawfully concealing the weapons in
19 the shipping container and admitted his intended
20 shipment of the concealed weapons overseas would
21 have been a violation of export laws and
22 restrictions. That's BOE Exhibit 1, paragraph 21.

1 MR PATEL: No objections, Your Honor.

2 JUDGE GUTHRIDGE: Mr. Patel, did
3 Washington Movers notify the Commission of the
4 arrest of Sam Ghanem, its president and QI?

5 MR PATEL: I don't know, Your Honor. I
6 don't think they did.

7 JUDGE GUTHRIDGE: Well, I will be
8 putting in a preliminary finding of fact would be
9 the best way to term it, that Washington Movers
10 did not notify the Commission that Sam Ghanem had
11 been arrested. That's BOE Exhibit 8, paragraph
12 15, says that I believe. But again this is the
13 fact that you come up with other evidence, Mr.
14 Patel, that you -- this does not foreclose you
15 from submitting other evidence.

16 Twenty-two, on January 6, 2014 a Federal
17 Grand Jury indicted Sam Ghanem for attempting to
18 smuggle weapons to Lebanon through Washington
19 Movers.

20 MR. PATEL: I have no objections.

21 JUDGE GUTHRIDGE: BOE Exhibit 8,
22 paragraph 16. Mr. Patel, did Washington Movers

1 notify the Commission of the indictment of Sam
2 Ghanem?

3 MR. PATEL: Again, I don't know, Your
4 Honor.

5 JUDGE GUTHRIDGE: Well, probably having
6 a preliminary finding Washington Movers did not
7 notify the Commission that Sam Ghanem had been
8 indicted for a felony. That's BOE Exhibit 8,
9 paragraph 15.

10 MR. PATEL: No objections.

11 JUDGE GUTHRIDGE: Twenty-four, on May 1,
12 2015 a jury rendered a verdict finding Sam Ghanem
13 guilty of attempted unlawful export of defense
14 articles in violation of 22 U.S.C. Section 2778
15 and smuggling of goods from the United States in
16 violation of 18 U.S.C. Section 554. That's BOE
17 Exhibit 2.

18 MR. PATEL: No objections, Your Honor.

19 JUDGE GUTHRIDGE: Mr. Patel, did
20 Washington Movers notify the Commission of the
21 guilty verdict of Sam Ghanem?

22 MR. PATEL: But no, no, Your Honor.

1 JUDGE GUTHRIDGE: Not at this point --

2 MR. PATEL: Yeah.

3 JUDGE GUTHRIDGE: -- you don't know of
4 any. One of the findings, Washington Movers did
5 not notify the Commission that the jury found Sam
6 Ghanem guilty.

7 MR. PATEL: No objections, Your Honor.

8 JUDGE GUTHRIDGE: BOE Exhibit 8,
9 paragraph 15. Twenty-six, on August 14, 2015 a
10 United States District Judge for the District of
11 Maryland entered a judgment finding Sam Ghanem
12 guilty of two felonies, one attempted unlawful
13 export of defense articles in violation of 22
14 U.S.C. Section 2778 and, two, smuggling of goods
15 from the United States in violation of 18 U.S.C.
16 Section 554. The Court sentenced him to a prison
17 term of 18 months. BOE Exhibit 2.

18 MR. PATEL: No objections, Your Honor.

19 JUDGE GUTHRIDGE: Did Washington Movers
20 notify the Commission of the judgment entered
21 against Sam Ghanem?

22 MR. PATEL. No objections, Your Honor.

1 JUDGE GUTHRIDGE: So Washington Movers
2 did not notify the Commission that the Court had
3 entered a judgment in the criminal case against
4 Sam Ghanem. BOE Exhibit 8, paragraph 15. Again,
5 if you come up with something different, Mr.
6 Patel.

7 Okay. Twenty-eight, on November 2, 2015
8 Washington Movers filed a reply to the Order to
9 Show Cause. Washington Movers attached a stock
10 transfer agreement to its November 2, 2015 reply
11 stating that for a payment of \$100 on December 31,
12 2013 Sam R. Ghanem, the sole shareholder of
13 Washington Movers, transferred his entire
14 ownership interest in Washington Movers to Norma
15 Ghanem That's Washington Movers Exhibit A

16 Did Washington Movers notify the
17 Commission that Sam Ghanem had transferred his
18 ownership interest?

19 MR. PATEL: Only once we filed the FMC
20 18 to make note of the qualifying individual. But
21 before that no, Your Honor.

22 JUDGE GUTHRIDGE: That was in November

1 20 or something like that, or was it with this
2 November 2?

3 MR. TROIANO: I thought it was almost
4 contemporaneous with this.

5 MR. PATEL: Yeah, it was 2015 I think.

6 JUDGE GUTHRIDGE: So a finding of
7 Washington Movers did not notify the Commission at
8 any time prior to November 2, 2015 that Sam Ghanem
9 transferred his entire ownership interest in
10 Washington Movers to Norma Ghanem. BOE Exhibit 8,
11 paragraph 17.

12 MR. PATEL: No objections

13 MR. TROIANO: Your Honor --

14 JUDGE GUTHRIDGE: I understand that
15 there's some question that he did -- that he
16 transferred it at the end of 2013 that we've
17 already discussed. And so this is not a finding
18 again that's written in stone.

19 MR. TROIANO: Well, I was going to ask
20 you if you go back to the finding, I understood
21 you to be saying that that was included as an
22 attachment to their filing, but I don't understand

1 to adopt as a factual finding the veracity of the
2 contents of that document.

3 JUDGE GUTHRIDGE: Right.

4 MR. TROIANO: Okay.

5 JUDGE GUTHRIDGE: Right I understand
6 that that's under -- that's challenged by BOE.

7 MR. TROIANO: That's correct.

8 JUDGE GUTHRIDGE: And that the metadata
9 may shed some light on that. I don't know. Like
10 I say, I'm not a computer expert

11 MR. PATEL: And we're going to be
12 providing --

13 JUDGE GUTHRIDGE: Thirty-one, Washington
14 Movers attached a unanimous written consent in
15 lieu of meeting of directors to its November 2,
16 2015 reply, stating that on January 1, 2014 the
17 directors approved the transfer of shares from Sam
18 R. Ghanem to Norma Ghanem, that Sam R. Ghanem
19 resigned as an officer and director of Washington
20 Movers, and that Norma Ghanem is appointed as the
21 sole officer (president, secretary, and treasurer)
22 and director of Washington Movers. That's

1 Washington Movers Exhibit B. And again, same with
2 that. I understand BOE challenges the veracity.

3 MR. TROIANO: That's correct, that's
4 correct.

5 MR. PATEL: No objections.

6 JUDGE GUTHRIDGE: Did Washington Movers
7 notify the Commission that Sam Ghanem resigned and
8 Norma Ghanem was appointed, Mr. Patel?

9 MR. PATEL: Not until the FMC 18 was
10 filed. Before that, no.

11 JUDGE GUTHRIDGE: So Washington Movers
12 did not notify the Commission at any time prior to
13 November 2, 2015 that the directors of Washington
14 Movers approved the transfer of shares from Sam R.
15 Ghanem to Norma Ghanem, that Sam R. Ghanem
16 resigned as an officer and director of Washington
17 Movers, and that Norma Ghanem is appointed as the
18 sole officer (president, secretary and treasurer)
19 and director of Washington Movers.

20 MR. PATEL: To the best of my knowledge,
21 no, Your Honor.

22 JUDGE GUTHRIDGE And as a corollary to

1 that, 33, Washington Movers did not notify the
2 Commission that its qualifying individual was no
3 longer an officer and director. That's again
4 assuming the veracity of all those documents, that
5 as of January 1, 2014 Sam Ghanem was no longer an
6 officer or director. Washington Movers did not
7 notify the Commission of that.

8 MR. PATEL: Yes, Your Honor.

9 JUDGE GUTHRIDGE: On or about October
10 28, 2014 the Commission's Bureau of Certification
11 and Licensing received a telephone inquiry from a
12 Special Agent of the FBI requesting verification
13 of the issuance of an OTI license to Washington
14 Movers, Inc. That's BOE Exhibit 8, paragraph 8.
15 Any dispute as to that?

16 MR PATEL: No, Your Honor.

17 JUDGE GUTHRIDGE: Is that the first time
18 that the Commission learned of these events, Mr.
19 Troiano?

20 MR. TROIANO: I believe it was.

21 JUDGE GUTHRIDGE: And that's sort of
22 implicit in Ms. Kusumoto's affidavit. Paragraph

1 35, the October 28, 2014 FBI inquiry was the
2 Commission's first notice that Sam Ghanem had been
3 arrested in 2013.

4 MR. PATEL: No objections.

5 JUDGE GUTHRIDGE: Okay. Now, addressing
6 some of the other documents. On June 6, 2014 Sam
7 Ghanem signed the 2014 annual report for
8 Washington Movers International, Inc. affirming
9 that the information contained in the report is
10 accurate and complete as of that date. That's BOE
11 Exhibit 4. Any dispute as to that?

12 MR. PATEL: (Shaking head).

13 JUDGE GUTHRIDGE: Thirty-seven,
14 Washington Movers submitted a 2014 annual report
15 signed by Sam Ghanem to the Commonwealth of
16 Virginia State Corporation Commission. Any
17 dispute as to that?

18 MR. PATEL: No objections, Your Honor

19 JUDGE GUTHRIDGE. Did Washington Movers
20 submit any other report for 2014, Mr. Patel?

21 MR. PATEL: Not that I'm aware of, Your
22 Honor.

1 JUDGE GUTHRIDGE: Okay. And so they
2 didn't -- so Washington Movers did not submit
3 another 2014 report signed by Norma Ghanem at any
4 point?

5 MR. PATEL: No. To the best of my
6 knowledge, she first signed for the 2013 reports
7 when they were updated after Sam was indicted.

8 JUDGE GUTHRIDGE: Thirty-eight, the 2015
9 annual report identifies Sam R. Ghanem as
10 Washington Movers' registered agent.

11 SPEAKER: Yes.

12 JUDGE GUTHRIDGE. BOE Exhibit 4.

13 MR. PATEL: No objections, Your Honor.

14 JUDGE GUTHRIDGE: The 2014 annual report
15 identifies Sam Ghanem as an officer and director
16 of Washington Movers and as Washington Movers'
17 "P/T". BOE Exhibit 4.

18 MR. PATEL: No objection.

19 JUDGE GUTHRIDGE: I assume "P/T" is
20 "president/treasurer"?

21 MR. TROIANO: That's my assumption.

22 MR. PATEL: That's possible, Your Honor

1 NO objections.

2 JUDGE GUTHRIDGE: Okay. The 2014 annual
3 reports deletes Sajih Ghanem as an -- and I think
4 that's pronounced correctly, S-A-J-I-H -- deletes
5 Sajih Ghanem as an officer of Washington Movers.

6 MR. PATEL: I have no objections, Your
7 Honor.

8 JUDGE GUTHRIDGE: Now, Mr. Patel, the
9 annual report instructions that we've incorporated
10 as part of Washington Movers Exhibit D states that
11 -- two-thirds to three-fourths of the way in, page
12 -- the annual report must be signed by an officer
13 or a director who is listed in the report. Do you
14 see that in the instructions?

15 MR. PATEL: Unfortunately I don't have
16 the instructions. These are the reports, but.

17 JUDGE GUTHRIDGE: You don't have your --
18 the -- I believe it was Exhibit 3 of the initial
19 -- of your response to the initial --

20 MR. PATEL: No, Your Honor.

21 JUDGE GUTHRIDGE: Mr. Riveness, could
22 you pull out your BOE Exhibit -- Washington Movers

1 Exhibit D?

2 COURT REPORTER: "D" as in "dog"?

3 JUDGE GUTHRIDGE: "D" as in "delta" I
4 would say.

5 MR. TROIANO: Your Honor, I've got my
6 copy here.

7 JUDGE GUTHRIDGE: Oh, if you could --

8 MR. TROIANO: I'd be happy to let Mr.
9 Patel look at it.

10 JUDGE GUTHRIDGE: Okay. All right.

11 Never mind, Mr. Riveness.

12 MR. TROIANO: As long as he doesn't
13 change while he's got it.

14 MR. PATEL: About three-fourths of the
15 way down?

16 JUDGE GUTHRIDGE: Yeah. The annual
17 report must -- and must is underscored -- be
18 signed by an officer or director as listed in the
19 report.

20 MR. PATEL: Yeah. No objections, Your
21 Honor.

22 JUDGE GUTHRIDGE: No, my question for is

1 -- as I recall you're a member of the Virginia bar
2 I think it said in your entry of appearance

3 MR. PATEL: Yes, sir.

4 JUDGE GUTHRIDGE: One of the things that
5 occurred to me as I was going through this stuff,
6 if it is true, as Washington Movers contents, that
7 Sam Ghanem was no longer an officer or director as
8 of September -- as of January 1, 2014 or December
9 31, 2013 -- I forget which date was that -- would
10 that mean that this 2014 annual report submitted
11 to the Commonwealth of Virginia was invalid
12 because it wasn't signed by an officer or a
13 director?

14 MR PATEL: It should be, because I know
15 when the 2015 ones were filed Sam was still listed
16 as officer in the 2014 ones. And so he was
17 deleted after that year, but for 2014 I'm not sure
18 if they had updated their annual reports and
19 changed it from Sam to (inaudible).

20 JUDGE GUTHRIDGE: Well, obviously they
21 had not. But my question -- that's not what I'm
22 asking. What I'm asking is if Washington Movers

1 were to establish that -- and, you know, it may
2 have no effect on this case at all -- but if
3 Washington Movers were to establish that as of
4 January 1, 2014 Sam Ghanem was no longer an
5 officer or director, under Virginia law would that
6 make this, the 2014 annual report invalid?

7 MR. PATEL No, that would be correct,
8 sir. If they didn't remove him off their report
9 themselves since wasn't an officer or director,
10 they should have removed him and he shouldn't have
11 been the one who signed the 2014 annual report.

12 JUDGE GUTHRIDGE: The 2014 report -- I
13 was looking at the instructions -- there was a
14 2014 report -- let me back it up before I ask the
15 question on it. Mr. Patel, have you dealt with
16 these kind of annual reports before?

17 MR. PATEL: To be honest the Washington
18 Movers one was my first one to file.

19 JUDGE GUTHRIDGE: Yeah. In the
20 instructions, there is language to the effect that
21 -- that leads me to believe anyway -- that the
22 report is generated, actually created by the State

1 Corporation Commission and sent to the
2 corporation. Is that your understanding?

3 MR. PATEL: Right. We -- I mean we
4 would call them up and they would send it to our
5 office and then --

6 JUDGE GUTHRIDGE All right. And so it
7 comes with -- as I understand it -- because again
8 referring to the annual report instructions
9 attached to Washington Movers Exhibit D, it says
10 the information set forth in the left hand box
11 reflects the information currently on file with
12 the Commission. That's the State Corporation
13 Commission, not the Federal Maritime Commission.
14 And so I'm looking at 2014's report and as I
15 understand that looking at page one, the
16 information down in box seven, Sam Ghanem is
17 identified as an officer and director. That would
18 have been in the report as sent by the State
19 Corporation Commission based on their records as
20 of the time they generated it. Is that correct?

21 MR. PATEL: Yes, sir

22 JUDGE GUTHRIDGE: Okay. On the next

1 page of the 2014 annual report, in the left
2 column, it identifies Sajih Ghanem as an officer.

3 MR. PATEL: I'm sorry. I apologize,
4 your Honor.

5 JUDGE GUTHRIDGE: That's okay.

6 MR. PATEL: So in 2015?

7 JUDGE GUTHRIDGE: Yeah, it was the 2014
8 one that BOE submitted, is what we're looking at.
9 Do you have that with you?

10 MR. PATEL: No. 2013's right now.

11 JUDGE GUTHRIDGE: Okay. Mr. Riveness,
12 could you get BOE Exhibit 4? Why don't you keep
13 your -- Mr. Troiano, and I'll -- we'll use the
14 other one here so you'll see what I'm talking
15 about too.

16 MR. TROIANO: Okay.

17 JUDGE GUTHRIDGE: Mr. Patel, could you
18 get that from Mr. Riveness?

19 MR. PATEL: Yes.

20 JUDGE GUTHRIDGE. So on the first page
21 it has Sam Ghanem as officer and director and that
22 would have been preprinted, but been based on

1 information that the Virginia State Corporation
2 Commission had when it generated the form, right?

3 MR. PATEL: Yes, sir.

4 JUDGE GUTHRIDGE: Okay. But if you turn
5 to the second page of the 2014 annual report, BOE
6 Exhibit 4, it identifies Sajih Ghanem, S-A-J-I-H
7 as an officer in what was preprinted in the left
8 column there. Correct?

9 MR. PATEL: Yes.

10 JUDGE GUTHRIDGE: And the box is checked
11 to delete that information. Is that correct?

12 MR. PATEL: Yes.

13 JUDGE GUTHRIDGE: Okay. So that means
14 that sometime prior to 2014 the Washington Movers
15 identified to the Virginia State Corporation
16 Commission that Sajih Ghanem was an officer of?

17 MR. PATEL: Yes, Your Honor.

18 JUDGE GUTHRIDGE: Did Washington Movers
19 ever notify the Commission that Sajih Ghanem was
20 an officer of Washington Movers?

21 MR. PATEL: The Federal Maritime
22 Commission?

1 JUDGE GUTHRIDGE: Yes

2 MR. PATEL: No, Your Honor

3 JUDGE GUTHRIDGE: Also, in the
4 preprinted left column of the 2014 annual report
5 it identified Norma Ghanem as an officer and
6 director of Washington Movers. So at sometime
7 prior to 2014 Washington Movers would have
8 identified Norma Ghanem as an officer and
9 director?

10 MR. PATEL: Yes, Your Honor.

11 JUDGE GUTHRIDGE: At any time prior to
12 2013 did -- or I guess 2015 -- when Washington
13 Movers submitted the 2015 report to the
14 Commission, at any time prior to that did
15 Washington Movers notify the Federal Maritime
16 Commission that Norma Ghanem was an officer and
17 director of Washington Movers?

18 MR. PATEL. No, Your Honor.

19 JUDGE GUTHRIDGE. Okay. And then below
20 Norma Ghanem is the name Hanan Halabi -- again, I
21 apologize for any mispronunciation -- who is
22 identified as an officer and deleting that

1 information. Is that correct?

2 MR PATEL: Yes, Your Honor.

3 JUDGE GUTHRIDGE: So at some time prior
4 to 2014 Washington Movers would have notified the
5 Virginia State Corporation Commission that Hanan
6 Halabi was an officer of Washington Movers?

7 MR. PATEL: Yes, Your Honor.

8 JUDGE GUTHRIDGE: Did Washington Movers
9 ever notify the Federal Maritime Commission that
10 Hanan Halabi was an officer?

11 MR PATEL: No, Your Honor.

12 JUDGE GUTHRIDGE: And then down below
13 that is Sandra Rodriguez designated as an officer.

14 MR. PATEL: Yes, Your Honor.

15 JUDGE GUTHRIDGE: And so somehow prior
16 to 2014 Washington Movers notified Virginia State
17 Corporation Commission that Sandra Rodriguez was
18 an officer?

19 MR. PATEL: Yes, Your Honor.

20 JUDGE GUTHRIDGE: At any time prior to
21 filing the 2015 report did Washington Movers
22 notify the Federal Maritime Commission that Sandra

1 Rodriguez was an officer?

2 MR. PATEL: No, Your Honor.

3 JUDGE GUTHRIDGE: So I will be making
4 preliminary findings on those -- what we just
5 discussed there also, but I won't go through all
6 of them at this point because I don't know exactly
7 what I'm going to say yet, so.

8 Mr. Patel, do you know when Sajih was
9 made an officer of Washington Movers?

10 MR. PATEL: No, Your Honor.

11 JUDGE GUTHRIDGE: Or when Norma Ghanem
12 was made an officer and director?

13 MR. PATEL: No, Your Honor.

14 JUDGE GUTHRIDGE: And come to think of
15 it, if Washington Movers notified the Virginia
16 State Corporation Commission at some time prior to
17 2014, which probably would have been at least --

18 MR. PATEL: 2013.

19 JUDGE GUTHRIDGE: -- 2013 when they made
20 the report and it looks like by July, end of July,
21 Washington Movers would have notified the State
22 Corporation Commission that Norma Ghanem was an

1 officer and director.

2 MR. PATEL: Yes, Your Honor.

3 JUDGE GUTHRIDGE: Which I think may
4 conflict with Washington Movers Exhibit A or B,
5 one or the other, whichever one -- doesn't it say
6 that Sam Ghanem had been the only officer and
7 director to that point? The Exhibit B, Washington
8 Movers Exhibit B states at that point, on January
9 1, 2014, Norma Ghanem is appointed as the sole
10 officer. There's some ambiguity in that. Maybe
11 she wasn't the sole officer before that and this
12 made her -- these are questions that -- and I just
13 want to give you the benefit of what has come up
14 to me, you know, come to my mind in going through
15 this, so we can create as an accurate record as
16 possible.

17 It may be beneficial to make the 2013
18 report, if we could get a copy of it, as an
19 Exhibit. The one before this because that would
20 again -- we would know who --

21 MR. PATEL: We (inaudible) submit that.

22 JUDGE GUTHRIDGE: Who? When Washington

1 Movers made its report in 2013, and apparently
2 it's by July 31, who was identifying as officers
3 and directors to the Virginia State Corporate
4 Commission prior to the events that occurred.

5 MR. TROIANO. We don't have a problem
6 with that, Your Honor.

7 JUDGE GUTHRIDGE: Okay. On November 20,
8 2015 Norma Ghanem signed a 2015 annual report for
9 Washington Movers International, Inc. affirming
10 that the information contained in the report is
11 accurate and complete as of that date. And that's
12 Washington Movers Exhibit D. Any dispute as to
13 that?

14 MR. PATEL: No, Your Honor.

15 MR. TROIANO: No.

16 JUDGE GUTHRIDGE: And then Washington
17 Movers submitted the 2015 annual report to the
18 Commonwealth of Virginia State Corporation
19 Commission. Any dispute?

20 MR. PATEL: No, Your Honor.

21 JUDGE GUTHRIDGE: The 2015 annual report
22 identifies Sam R. Ghanem as Washington Movers'

1 registered agent. Is that correct?

2 MR. PATEL: Yes, Your Honor.

3 JUDGE GUTHRIDGE: The 2015 annual report
4 deleted Sam Ghanem as officer and director of
5 Washington Movers and as Washington Movers' P/T.

6 MR. PATEL: Yes, Your Honor.

7 JUDGE GUTHRIDGE: Mr. Patel, again, sort
8 of relying on your Virginia bar membership, and
9 maybe something you haven't thought about and you
10 can't tell me about, but I'd be interested in
11 knowing under Virginia law what's the effect of
12 identifying Sam Ghanem as an officer and director
13 of Washington Movers in the annual report? I mean
14 could Washington Movers go into a Virginia Court
15 and successfully argue to a Virginia Court that
16 even though he was -- Sam Ghanem was identified in
17 the annual report submitted to the Commonwealth of
18 Virginia that he wasn't really because of the
19 Exhibit A and/or B?

20 MR. PATEL. It should have been
21 Washington Movers' responsibility to remove him
22 from the time that he asked to transfer to Norma.

1 But it would be evidence against Washington Movers
2 that the annual reports show Sam as an office.
3 I'm not sure how strong that evidence is in terms
4 of --

5 JUDGE GUTHRIDGE: I guess the question
6 is -- one way of thinking of it is, is the fact
7 that he was included in the annual report a
8 rebuttable presumption or a rebuttable fact? I
9 mean could a corporation argue, yeah, that's what
10 we said in the Virginia Court, that's what we told
11 the State Corporation Commission, but he really
12 wasn't. Would that be a very successful argument
13 in -- do you know?

14 MR. PATEL: I'm not sure, Your Honor.

15 JUDGE GUTHRIDGE: Okay. I don't think
16 either way it would controlling on what the
17 Federal Maritime Commission does with it, but it's
18 a question that occurred to me as I was going
19 through this.

20 MR. TROIANO: The filing is made on
21 behalf of the corporation.

22 JUDGE GUTHRIDGE. Right. The filing

1 that the corporation made on behalf of itself.
2 But then the corporation -- you know, if for some
3 reason in a particular proceeding there was some
4 issue as to whether he really was still an officer
5 and director and Washington Movers wanted to argue
6 that he was not, could they successfully do that
7 or would the Commonwealth of Virginia say, no, you
8 said here he is and so

9 MR TROIANO: If that becomes a relevant
10 question, Your Honor, I think it might be wise to
11 get an opinion from the Commonwealth's Attorney.

12 JUDGE GUTHRIDGE: I don't know. Or
13 maybe some lawyers -- (Laughter)

14 MR TROIANO: I would hope the
15 Commonwealth's Attorney is a lawyer.

16 JUDGE GUTHRIDGE: Okay. So then 48,
17 what I have here as 48 might not still be 48, Sam
18 R. Ghanem remained as Washington Movers'
19 registered agent with the Commonwealth of Virginia
20 until November 20, 2015.

21 MR PATEL: Yes, Your Honor. At least
22 on paper, but after he was convicted.

1 JUDGE GUTHRIDGE: Well, I mean I'm
2 looking at Washington Movers Exhibit D and
3 Washington Movers Exhibit G, D being the annual
4 report, but then G being the statement of change
5 of registered office and/or registered agent
6 change that says in paragraph two, current
7 registered agent's name and registered address,
8 and identifying Sam Ghanem as of November 20.
9 Then Norma Ghanem being the new registered agent
10 as of November 20.

11 MR. PATEL: No objection to Sam Ghanem
12 as the registered agent before the Commission.

13 JUDGE GUTHRIDGE: And again, this things
14 that occurred to me about Virginia law, if --
15 well, let me ask you first, what's the function of
16 a registered agent under Virginia law?

17 MR. PATEL: Normally to accept service.

18 JUDGE GUTHRIDGE: Is that essentially
19 it?

20 MR. PATEL: Yes. I mean that's the only
21 capacity where I've ever -- registered agents was
22 to effectuate service.

1 JUDGE GUTHRIDGE: So if Washington
2 Movers receives something, a summons, if Sam
3 Ghanem received a summons for Washington Movers
4 any time prior to November 20, 2015 would Virginia
5 Courts have said you've been served even though
6 say he's no longer an officer or director?

7 MR. PATEL: Yes And on top of that,
8 the Forsythia Street address is -- I'm not 100
9 percent if it's their family home or if it's their
10 local office, but they would definitely receive
11 service at that address.

12 MR. TROIANO: Your Honor, can I back up
13 --

14 JUDGE GUTHRIDGE: Sure.

15 MR. TROIANO: -- and ask you where
16 you're -- you're reading from the 2015 annual
17 report?

18 JUDGE GUTHRIDGE: No, I meant Exhibit G

19 MR. TROIANO: Which is?

20 JUDGE GUTHRIDGE: It was Exhibit 4 on
21 the response to the initial order. Find it?

22 MR. TROIANO: I've got it. And what I

1 was trying to find was where you were reading a
2 change in the --

3 JUDGE GUTHRIDGE: No, you're -- I can
4 see from here you're not on the same document I
5 am. I'm on the statement of change of registered
6 office and/or registered agent issued by the
7 Commonwealth of Virginia.

8 MR TROIANO. Okay. Now I've got it.
9 Okay.

10 JUDGE GUTHRIDGE: No, I don't think
11 that's it either.

12 MR. TROIANO: That's not it? Oh,
13 Exhibit -- this was their prior Exhibit 4, is that
14 right?

15 JUDGE GUTHRIDGE: It looks like this.

16 MR. TROIANO: All right. I've seen that
17 somewhere.

18 MR. PATEL: Is it Exhibit F?

19 JUDGE GUTHRIDGE. Exhibit G.

20 MR TROIANO: And this was in their
21 filing?

22 JUDGE GUTHRIDGE: In their response to

1 the initial order -- my initial order.

2 MR. TROIANO: Okay.

3 JUDGE GUTHRIDGE: Exhibit 4.

4 MR. TROIANO: Now I've got it.

5 JUDGE GUTHRIDGE: Yeah, yeah. Okay.

6 Going back to -- it says the current agent is Sam
7 Ghanem, and paragraph 4 is the new registered
8 agent is Norma Ghanem.

9 MR. TROIANO: Okay. The reason I ask is
10 that the 2015 annual report, which was filed on
11 the same date as this, continues to show the
12 registered agent as Sam Ghanem at the Springfield,
13 Virginia address I think at that time his
14 address was in Cumberland, Maryland.

15 JUDGE GUTHRIDGE: Well --

16 MR. PATEL: This is one issued by -- the
17 Virginia State Corporation Commission sent to us.

18 JUDGE GUTHRIDGE Yeah, if you look at
19 it -- and there's a second page of Exhibit G,
20 that's a receipt, Office of the Clerk, who
21 acknowledged statement of change of registered
22 office and/or registered agent, the effective date

1 November 20, 2015

2 MR. TROIANO: Now --

3 JUDGE GUTHRIDGE. So there must have
4 been something else, something that was filed with
5 the State of Virginia.

6 MR. TROIANO: Something precipitated
7 this from the State of Virginia.

8 JUDGE GUTHRIDGE: Yeah.

9 MR. TROIANO: But we don't have that.

10 JUDGE GUTHRIDGE: I'm not sure if we
11 need that but -- because it does show that at
12 least until that date he was the registered agent,
13 for whatever that means I don't know insofar as
14 this proceeding

15 Okay. Then on September 14, 2015 Sam
16 Ghanem wrote a letter to the District Court
17 requesting extension of the surrender date from
18 September 28, 2015 to October 8, 2015, "Because my
19 company is currently undergoing major changes,
20 such as changing the ownership. Changing the
21 management requires time to make necessary changes
22 prior to my departure I need more time to

1 properly train my new partner with our new
2 software system, introducing him to all our major
3 clients, and adding him to our bank accounts,
4 vendor accounts, et cetera, and assist with the
5 hiring process of new personnel. I feel that two
6 weeks will not be suffice" -- and that's what it
7 says, but I assume you meant sufficient -- "time
8 to complete all the necessary training that needs
9 to be done. Another major reason is that my
10 office assistant/office manager, Sandra Rodriguez,
11 will be traveling out of the country as of
12 September 26, 2015 until October 4, 2015 for
13 family reasons Her absence is making it
14 impossible to turn myself in on September 28 since
15 she will not be present the first week that I will
16 be gone to train the new staff. Please find
17 attached proof for statements mentioned above".
18 And that's BOE Exhibit 5.

19 Mr. Patel, or Mr. Troiano, either of
20 you, do you know who the new partner he was
21 referring to is?

22 MR. PATEL: I don't, especially because

1 I was under the impression that himself and -- or
2 along with the other officers that are listed, but
3 mainly him and Norma ran this company up until
4 that point. And as far as me following up with
5 it, I haven't heard any new partner that came in,
6 especially around that date.

7 JUDGE GUTHRIDGE: All right. And I
8 think I forgot to ask is there any objection to
9 that as a finding?

10 MR. PATEL: No, Your Honor

11 MR. TROIANO. No, no. The only thing I
12 would add here, Your Honor, is his reference to
13 "him" would suggest that it's someone other than
14 Norma, although that's going any further than
15 that.

16 JUDGE GUTHRIDGE: Okay. I know.
17 Sometimes genders get switched on pronouns, but
18 anyway, if, you know --

19 MR. PATEL. And Sam also has or had a
20 trucking company along with this. I'm not sure,
21 but this document refers specifically to
22 Washington Movers as the company.

1 JUDGE GUTHRIDGE: So he might have been
2 referring to a company other than Washington
3 Movers?

4 MR. PATEL: He might have been, but then
5 the letter I guess went on to say Sandra Rodriguez
6 --

7 JUDGE GUTHRIDGE: Sandra Rodriguez,
8 yeah.

9 MR. PATEL: -- who, as far as I know
10 again, I'm not sure if she's involved with the
11 other companies. I mean I don't know in what
12 capacity if she was Washington Movers' office
13 manager.

14 JUDGE GUTHRIDGE: Okay. The letter
15 refers to attached proof. Do you have -- do we
16 know what that is? Was that not --

17 MR. TROIANO It was not included in the
18 Court record that was available to us. I don't
19 know if there was an attachment actually
20 submitted.

21 JUDGE GUTHRIDGE: Okay.

22 MR. PATEL: Just so I remember, the

1 letter was dated late 2014?

2 JUDGE GUTHRIDGE: September 14, 2015.

3 It was trying to defer incarceration.

4 Did Norma Ghanem submit anything to the
5 Court about extending the date, do you know, Mr.
6 Troiano?

7 MR. TROIANO: There was nothing in the
8 Court docket reflected on PACER.

9 JUDGE GUTHRIDGE: Okay. That's as far
10 as I've gotten on sort of preliminary findings. I
11 don't know -- again these are not written in stone
12 and as we said, what I intend to do is prepare it
13 as a document and send it to you folks and maybe
14 give a couple of weeks for you to respond with
15 maybe a signature line or something like that
16 saying whether you have any objection as of that
17 point. So that will come out a few days.

18 MR. TROIANO: Can I just ask, Your
19 Honor, just thinking ahead, assuming that we get
20 to the point where we can both sign off on that,
21 those would be established findings of fact that
22 we would not have to submit evidence again?

1 JUDGE GUTHRIDGE: Correct.

2 MR. TROIANO: Okay.

3 JUDGE GUTHRIDGE: Wouldn't have to do
4 requests for admissions, or anything like that to
5 Washington Movers on this.

6 MR. PATEL: You mentioned earlier if we
7 do find anything else that we wanted to submit and
8 the facts that we went through weren't set in
9 stone.

10 JUDGE GUTHRIDGE: Right.

11 MR. PATEL: Is this from the time that I
12 guess you send us both your findings we would have
13 a few weeks to kind of make objections if we would
14 have anything else, or we sign off on it? Just
15 have a period or --

16 JUDGE GUTHRIDGE: I'll have to think
17 about that, how long a period to put in there, but
18 -- so of course all of that was sort of a preface
19 to what now what we have to talk about, what else
20 needs to be done. The reason the Commission sent
21 it to me was among other things to determine
22 whether submissions have to be made.

1 And so, Mr. Patel, let me start with
2 you I think it's fair to say that there is a
3 prima facie case made The Commission says that
4 when there's a prima facie case -- I said once
5 there was a prima facie case then, you know, it
6 was up to the respondent to submit additional
7 information and, you know, what else might affect
8 that. So at this point, what do you -- what
9 additional discovery do you think needs to be
10 done, what additional areas need to be --
11 additional submissions need to be made?

12 MR. PATEL: Well, I guess the top two
13 areas where we would like more information, or
14 just to -- lack discovery are kind of to go
15 against the BOE's claim that Washington Movers was
16 used as an instrumentality. And I know just now
17 we discussed the FBI letter which said that other
18 people were involved, and, you know, also going
19 through the documents for Sam, was (inaudible)
20 agent previously and things like that. But I
21 think testimony from Norma, from Sandra Rodriguez,
22 you know, from the people, you know,

1 representatives of MSC who dealt routinely with
2 Washington Movers to see did they know Mr.
3 Ghanem's conduct, was this an under -- any kind of
4 thing that he did independently. And that's
5 definitely one of the factors, you know, as to
6 whether or not Washington Movers is liable for
7 Sam's conviction.

8 JUDGE GUTHRIDGE: Well, it might not
9 just be that. I think this is what BOE has been
10 saying. And maybe even a little bit clearer now
11 that -- assuming Washington Movers is correct and
12 that he was gone as of that point, which I'm not
13 sure, especially given than Mr. Troiano said that
14 there are --

15 MR. PATEL: Veracity of the documents.

16 JUDGE GUTHRIDGE: Well, the veracity of
17 the documents, but also service contracts signed
18 by Sam Ghanem after these events, after the arrest
19 and all that. But even with that, I mean I think
20 it would be legitimate for the Commission to
21 consider the fact that, you know, it was more than
22 22 months that Washington Movers was operating as

1 an ocean transportation intermediary without
2 having complied with the regulations that required
3 it to give notice of the events of Sam Ghanem's
4 arrest, indictment, conviction, and sentencing.
5 Those are factors I think can be taken into
6 account, but, you know -- and maybe irrespective
7 -- and I'm not making any findings on this, but I
8 think what BOE would be arguing was that,
9 irrespective of any of the actual operations of
10 the company, that given those failures -- and I
11 think it's fair to read the show cause orders as
12 reaching it -- that those failures to notify the
13 Commission may warrant lifting the license. I
14 don't know at this point.

15 Is that fair to say, Mr. Troiano?

16 MR. TROIANO: Well, it is. And, Your
17 Honor, I understand where the Respondent is coming
18 from, but it seems to me that there are not
19 necessarily factual disputes. What they have,
20 legal argument to argue the consequences of those
21 facts, but as far as further evidentiary
22 submissions, I'm not sure there is a lot of

1 dispute as to facts. As far as the company's
2 involvement, I mean I know that they are arguing
3 about other employees not knowing what Mr. Ghanem
4 was up to. The fact is that his actions were
5 taken in the name of Washington Movers, the holder
6 of the license.

7 JUDGE GUTHRIDGE: And the -- oh, I'm not
8 sure whether I asked you this, did Washington
9 Movers -- at the time of the move -- of the events
10 in December of 2013, did Washington Movers create
11 any documents regarding the shipment?

12 MR. PATEL: Yes. Mr. Ghanem's the
13 shipper underlying the criminal conviction

14 JUDGE GUTHRIDGE: Right.

15 MR. PATEL: As far as elsewhere, other
16 than documents that Sam may have created himself,
17 Norma, or Sandra, or any of the other people did
18 not create the documents on that transaction, I
19 did see when we had gone through the facts that
20 one of the MSC contracts was signed by Sandra and
21 I do want go over information like that. But --

22 JUDGE GUTHRIDGE: Are you talking about

1 where she was identified as the contact?

2 MR. PATEL: Right. But other than that,
3 I am not sure if Washington Movers in December
4 created -- if you seen in contracts other than
5 that one, you know, we can certainly find out as
6 to any (inaudible).

7 JUDGE GUTHRIDGE. I think those -- I
8 think that would certainly be something that
9 should be produced in discovery I assume you
10 would want those, Mr. Troiano?

11 MR. TROIANO: Absolutely.

12 MR. PATEL: Yeah.

13 JUDGE GUTHRIDGE: Because I think
14 probably the reason -- or it could be that the
15 reason it went on in the criminal case is it -- be
16 asking, you know, to -- as part of the criminal
17 case to -- because I think -- because you got your
18 other documents -- some of them now that the
19 criminal case --

20 MR TROIANO: Yes, they -- yeah.

21 JUDGE GUTHRIDGE: Yeah. They might not
22 have been able to get them from Washington Movers

1 as part of the criminal case, but certainly in the
2 civil proceeding if Washington Movers -- any
3 documents that Washington Movers created as part
4 of the shipment --

5 MR. PATEL: Oh, we will definitely --

6 JUDGE GUTHRIDGE: -- should be produced.

7 Mr. Patel, do you have a signed -- the tax
8 returns for Washington Movers in tax year 2013,
9 2014?

10 MR. PATEL: I'm not about 2013 and '14,
11 no, sir.

12 JUDGE GUTHRIDGE: Because you did submit
13 -- one of your Exhibits was the --

14 MR. PATEL: Yeah, the recent one was
15 signed.

16 JUDGE GUTHRIDGE: For now, for 2016, but
17 again going to what Mr. Ghanem did -- well, let me
18 just ask it this way, did Mr Ghanem continue to
19 work for Washington Movers after the arrest?

20 MR PATEL: To the best of my knowledge,
21 no, sir He -- after his arrest for -- what Norma
22 has represented to me, he wasn't part of the

1 company and it became her responsibility. And she
2 had been working for the company for 20 years, so
3 I mean also she had the ability to manage it and
4 move forward on her own and has been doing so for
5 the past year and a half, two years.

6 JUDGE GUTHRIDGE: Mr. Troiano, doesn't
7 the Commission have the right for a licensed OTI
8 to go through its records?

9 MR. TROIANO: Yes, we do.

10 JUDGE GUTHRIDGE: Has that been done?

11 MR. TROIANO No, but we anticipate
12 seeking a large amount of documentation through
13 discovery.

14 JUDGE GUTHRIDGE: Are you going to be
15 asking them to copy them all and send them to you
16 or are you going to send somebody there to go
17 through them and copy what you need? I was
18 thinking of the costs of -- and speed with which
19 it could be done rather than --

20 MR. TROIANO We haven't made that
21 determination yet.

22 JUDGE GUTHRIDGE: Does -- I mean Mr.

1 Patel says his understanding is that he wasn't
2 doing anything and maybe, you know, it wouldn't
3 take -- you know, if he was signing any documents
4 other -- well, you already say he signed a --

5 MR. TROIANO: Yes. He -- we --

6 JUDGE GUTHRIDGE: -- service contract.

7 MR. TROIANO: Yes.

8 JUDGE GUTHRIDGE: That if he's also
9 doing, you know, signing shipping documents, just
10 going through and getting -- you wouldn't need of
11 hundreds of them, just a need a few. And thinking
12 of costs, how that relates to what goes on in the
13 case.

14 Do you know, Mr Patel, whether Sam
15 Ghanem was removed -- I assume -- let me back up,
16 I assume that prior to December 21 or whatever it
17 was, 2013 he was a signatory on all of Washington
18 Movers' bank accounts. Do you know whether he was
19 removed as the signatory?

20 MR. PATEL. I think yes, but I mean, you
21 know, I don't want to make a representation and
22 then find out that he's still on there. But I

1 know Norma has been, at least for the expenses
2 along with the business, she's the only one who is
3 operating it now. At least since October 2015

4 JUDGE GUTHRIDGE: But I assume that is
5 something that BOE would want also.

6 MR. PATEL: Yes, we're looking to find
7 that and producing that to the BOE.

8 MR TROIANO: Yeah, because there have
9 been representations made since November 2 when
10 this proceeding started that Mr. Ghanem has been
11 completely removed, and if he has then all of
12 these other technical issues should have been
13 taken care of. I don't know how representations
14 can be made that he has been removed but I don't
15 know if his signature cards have been changed or
16 taxes.

17 JUDGE GUTHRIDGE Yeah. Well, that's
18 what I'm saying I think that's something that will
19 certainly, you know. And what I'm trying to do is
20 making short circle for the few thing here anyway
21 that -- rather than require BOE or -- and there
22 may be things that you want also, Mr. Patel --

1 have to go back and draft a request for production
2 of documents and interrogatories. Just sort of
3 speed things along. I mean this case has been
4 going on for a while for a show cause hearing and
5 I can't see -- I mean our rules permit 150 days of
6 discovery in our Commission proceedings. So ones
7 that normally -- either the orders of
8 investigation and hearing or the private
9 complaints, but I don't think we need 150 days for
10 discovery in this case. I'm just trying to speed
11 that up.

12 So the -- how long do you think, Mr.
13 Patel, it would take you to get the bank records
14 showing when -- if he was signatory when he was
15 removed as signatory?

16 MR. PATEL I would hopefully have those
17 within a few weeks. I'll have to get those.

18 JUDGE GUTHRIDGE: Okay. You also -- Mr
19 Patel submitted the Acord Certificate of Liability
20 Insurance for Washington Movers, Norma Ghanem,
21 International, Inc. I don't know how her name got
22 in the middle of the -- in between the Washington

1 Movers and the International, Inc., but are there
2 similar documents I think for the period of 2014
3 and 2015? Because this was the 2016 document as I
4 recall

5 MR. PATEL: I would be able to do --
6 with the bank records get the insurance records to
7 show kind of the track between -- hopefully all
8 the way back to 2013, just move it forward to see

9 JUDGE GUTHRIDGE: So it's your
10 understanding, Mr. Patel, that Sam Ghanem had no
11 interaction with Washington Movers' customers
12 after January 1, 2014, or no interaction with
13 common carriers?

14 MR. PATEL: Well, now that -- when we
15 talked about the MSC document that is signed, you
16 know, I -- it was my understanding that he had no
17 contact with customers and the business was fully
18 operated by Norma. But from representations to me
19 no, he did not, but then clearly when we went
20 through the facts -- at least on the one contract
21 -- he was.

22 JUDGE GUTHRIDGE: Yeah. How long do you

1 think it would take you to get -- I assume -- you
2 should have a copy of the -- Washington Movers
3 should have copies of the 2014 and 2015 service
4 contracts.

5 MR. PATEL: Yeah And we would --

6 JUDGE GUTHRIDGE: So you would need to
7 get that from -- because I know that they are on
8 file, right, Mr Troiano? There should be --
9 there are copies of the service contracts on file
10 with the Commission?

11 MR. TROIANO: Yeah. Unfortunately, it's
12 my understanding that the signed copies are not
13 necessarily on file.

14 MR. PATEL: I can try to get those. I
15 mean they're contracts.

16 MR. TROIANO: But, Your Honor, you know,
17 I appreciate your trying to shortcut the
18 proceeding a bit, but we would like the
19 opportunity to define the documents that we would
20 like to see.

21 JUDGE GUTHRIDGE: Well, I'm not trying
22 to restrict you on that, I'm just trying to -- you

1 know, there's some things that I think I would be
2 interested in seeing and, you know, given like I
3 say that sort of the peculiar -- not peculiar but
4 unusual posture that this case is in that these
5 are things that I think --

6 MR. TROIANO. Well, the questions that
7 you're asking are again finding the same types of
8 documents that we will be seeking in discovery.

9 JUDGE GUTHRIDGE. Well, by asking those
10 I don't mean to restrict you

11 MR. TROIANO. Oh, okay.

12 JUDGE GUTHRIDGE: Mr. Patel, how long do
13 you think it would take you to come up -- like you
14 said a few weeks, but what -- for the metadata,
15 the bank signature cards, the insurance records --
16 getting those?

17 MR. PATEL: I'm not sure how long the
18 extraction of metadata would possibly take. I
19 know we will try on our sides to do it as quickly
20 as we can. Things like bank records we'll likely
21 find out. I can call Norma and find -- to try to
22 get it moving, started today.

1 JUDGE GUTHRIDGE: Okay. Let me ask you
2 this -- or let me ask you this way, how long do
3 you think discover would take

4 MR. TROIANO: Well, I was just going to
5 volunteer, we're very close to pushing discovery
6 requests out the door. And normally we give 30
7 days to respond. So we could be in position to
8 have the information we want from discovery --
9 this is March -- the beginning of May.

10 JUDGE GUTHRIDGE: Have gotten responses
11 to discovery, assuming --

12 MR. TROIANO: Assuming there's no hold
13 up in getting the responses. I would envision
14 getting our discovery request out the door by the
15 end of this month. If we tack on 30 days, that's
16 the end of April, beginning of May. Now,
17 depending on what we get back we may not need
18 anything further, but obviously we don't want to
19 preclude ourselves from going through a second
20 round of discovery.

21 JUDGE GUTHRIDGE: What about you, Mr.
22 Patel, what discovery do you think you'll be

1 getting out?

2 MR. PATEL: At this point my main
3 concern would be if there are any hold ups and us
4 being able to produce the documents that are
5 requested or any relevant documents. And just,
6 you know, I'll try to get started ASAP. Just if
7 there is any hold ups, just have a smaller kind of
8 built in cushion where -- you know, by end of May
9 things should be okay with our side.

10 JUDGE GUTHRIDGE: So if we had discovery
11 close -- give you a little bit extra time. This
12 is Marc 23, if discovery closed -- do you have a
13 calendar, anybody have a calendar?

14 MR. TROIANO: Yeah, I do. The only
15 problem with drawing a discovery date is we don't
16 know at this point if depositions are going to be
17 needed. So I mean we're talking about a 30-40 day
18 period just getting the written discovery back.
19 And then at that point making a determination
20 whether or not depositions are going to be
21 required.

22 JUDGE GUTHRIDGE: How about if we --

1 would three months be enough time? I know, Mr.
2 Patel, you -- I saw from your response to the
3 initial date I set for this that -- you work in
4 the Rocket Docket in the Eastern District of
5 Virginia.

6 So would 90 days be sufficient for
7 discovery?

8 MR. PATEL: Yeah, 90 days is at least --
9 I know Tommy would be able to start working on
10 this with Mr. Troiano requests. My concern
11 again, it was brought up, the depositions. I know
12 in our submissions for the March 3 statement we
13 had mentioned that not only Norma, then Sandra,
14 and somebody at MSC, and the attorney, Mr. Bonsib,
15 who --

16 JUDGE GUTHRIDGE: Oh, on that one, you
17 know, I don't think there is any dispute that
18 Washington Movers was not indicted and was not
19 charged criminally, but I don't think this really
20 has any relevance, but I don't think there's any
21 dispute that they weren't.

22 MR TROIANO: No. We could stipulate to

1 that.

2 JUDGE GUTHRIDGE: Yeah, okay. The fact
3 that the -- I don't know if I have that.

4 (Laughter) The fact that the United States
5 Attorney chose not to indict Washington Movers and
6 try to prove beyond a reasonable doubt that it
7 committed the crimes doesn't have -- it doesn't
8 seem to me has any affect on the -- whether the
9 Commission can attempt to show by a preponderance
10 of the evidence that Washington Movers should not
11 be an OTI.

12 MR. PATEL: We understand, Your Honor
13 And then --

14 JUDGE GUTHRIDGE: But that fact, the
15 fact that they were not indicted, convicted, or
16 anything like that is stipulated to?

17 No, something -- something else I just
18 thought of. Oh, Mr. Patel, you identified as one
19 of the witnesses, Cliff Johnson?

20 MR. TROIANO: Our deputy director of
21 BCL?

22 JUDGE GUTHRIDGE: Yeah. I don't know

1 that that's really part of this. I think, you
2 know, arguably that maybe it should be, but the
3 fact -- but the show cause doesn't have anything
4 in it about whether Norma Ghanem should be a
5 qualifying individual for Washington Movers. You
6 know, I'm not sure of the relevance of that.

7 MR. PATEL: We put that in there. I
8 noticed that line of cases with I think it was
9 Merit and then Ariel and the Commonwealth Shipping
10 where one of the factors when the Commission
11 considered revocation as a penalty as opposed to
12 civil fines and everything was if the company had
13 showed, you know, the intent for future compliance
14 versus -- you know, in those cases it was eight
15 years of warnings, eight years of continuous non
16 compliance even after warnings had been issued.
17 And to the extent that Norma, since she has come
18 to operate the company has been trying to, you
19 know, get everything sorted with the Virginia
20 State Corporate Commission, with the FMC, you
21 know, again with your recommendations trying to
22 become a qualifying individual. And really

1 there's not threat kind of moving forward with
2 Norma kind of at the helm of Washington Movers
3 that they're -- they're not in compliance to the
4 extent it happened in the past under Sam's
5 leadership isn't going to be something that, you
6 know, the Commission worried about going in the
7 future versus those other cases. That one of the
8 factors that was considered.

9 JUDGE GUTHRIDGE: I guess a quick
10 response to that is that the facts we've been
11 through, there's been non compliance under -- you
12 know, since she allegedly took over on January 1
13 of 2014 of things that should have been reported
14 that were not reported. So -- but that's the
15 Commission -- I mean, I'm sorry, that's Washington
16 Movers is the respondent there. But whether we
17 could even make -- even if Mr. Troiano wanted to
18 make it part of this proceeding I'm not sure if
19 it's within the parameters of the show cause
20 order. Maybe it should be. I mean because if
21 Washington Movers were to prevail in this
22 proceeding it would still not have a QI

1 MR. TROIANO: That's correct.

2 JUDGE GUTHRIDGE: And so then the
3 Commission would have to decide whether it would
4 be appropriate for her to be a QI, whether she's
5 qualified.

6 MR. TROIANO: Well, the initial
7 determination would be made by the Bureau of
8 Certification and Licensing as to whether or not
9 she was qualified.

10 JUDGE GUTHRIDGE: Right.

11 MR. TROIANO: But that would be a
12 determination wholly apart from this proceeding --

13 JUDGE GUTHRIDGE: Right.

14 MR. TROIANO: -- unless something is
15 developed in this proceeding that would go against
16 her character.

17 JUDGE GUTHRIDGE: Well, I guess, you
18 know -- and, you know, it's sort of, like I say, I
19 can't make it part of this and I don't know, I
20 don't think we can because I think we're
21 restricted to the show cause order. But if --
22 like I say, if it were to happen that Washington

1 Movers were to prevail in this it still would not
2 have a QI and so that determination would have to
3 be made. And if BCL were to determine that she's
4 not qualified then we'd be back again maybe on
5 that issue. But, on the other hand, if it were
6 determined that Washington Movers does not prevail
7 in this case, that BOE prevails and the license is
8 revoked, you know, that determination would never
9 be made in one respect, but, you know, even if she
10 wanted to carry through and still try to become
11 the QI, Washington Movers would have to cease
12 operation in the meantime.

13 MR. TROIANO: That's correct, that's
14 correct.

15 JUDGE GUTHRIDGE Yeah.

16 MR. TROIANO: And there would be no
17 licensee --

18 JUDGE GUTHRIDGE: There would -- right.

19 MR. TROIANO: -- to which she would
20 become a QI

21 JUDGE GUTHRIDGE: Yeah.

22 MR. TROIANO: So that would more or less

1 moot that proceeding.

2 JUDGE GUTHRIDGE: Yeah, so.

3 MR. TROIANO: By the same token, if
4 Washington Movers prevailed in this proceeding the
5 application to become QI could move forward --

6 JUDGE GUTHRIDGE: Yeah.

7 MR. TROIANO: -- with its own
8 independent determination.

9 JUDGE GUTHRIDGE: Okay. Well, again,
10 I'm just not sure, Mr. Patel, whether we can make
11 the issue of whether it's inordinate delay in the
12 --

13 MR. PATEL: That's not so much the delay
14 that -- I guess at least the fact that Norma, you
15 know, took the steps comply with the FMC's
16 regulations to the best she could once she took
17 over and once she was made aware of proceedings.
18 And at least from the representations from
19 licensing arm that the application was set, they
20 have check their records, there's -- but that they
21 are, you know, withholding a determination until
22 this proceeding is resolved. And, you know, one

1 of the things that we wanted to present was, you
2 know, Norma did have the experience and is the
3 qualifying individual, so if this proceeding did,
4 you know, resolve in favor of Washington Movers
5 there's not side issue as to whether or not they
6 have a qualifying individual or if they could move
7 forward and continue.

8 JUDGE GUTHRIDGE: Well, I'm just not
9 sure that it's -- this is part of this.

10 MR. TROIANO: And for the record, Your
11 Honor, BOE's position is it is not part of this
12 proceeding.

13 JUDGE GUTHRIDGE: Yeah, okay.

14 MR. TROIANO: Your Honor, if I may go
15 back to -- I know you asked a question about the
16 length of time for discovery --

17 JUDGE GUTHRIDGE: Yeah.

18 MR. TROIANO: -- and I know under our
19 existing rule the 150 days is pretty much of a
20 hard cap. If we're talking about --

21 JUDGE GUTHRIDGE: Sometimes it's not --

22 MR. TROIANO: I understand that. But in

1 this proceeding we're talking about a shorter
2 period. We wouldn't necessarily oppose that if
3 there was some understanding that depending on how
4 things developed, that shorter period could be
5 extended.

6 JUDGE GUTHRIDGE: Yeah, well, I -- an
7 aspirational three months? How about -- that --
8 yeah, I recognize, but we -- at this point just to
9 keep some pressure on you, I mean so you don't
10 wait until June to start or something like that.
11 Because I mean it is true that Washington Movers
12 had been operating without a QI for two years and
13 three months, almost four months -- three months
14 -- three months at this point. So, you know, we
15 don't want this to turn into one of those cases
16 that lasts for years

17 Do you think, Mr. Patel, two weeks you
18 could get the metadata -- well, maybe not that,
19 but the bank information, the insurance record?

20 MR. PATEL: Yeah, especially the bank
21 records. I can --

22 JUDGE GUTHRIDGE: I mean that should --

1 I mean just --

2 MR. PATEL: Yeah, I mean --

3 JUDGE GUTHRIDGE: -- the bank saying,
4 you know, what periods of time that -- what
5 persons were authorized to sign checks And, you
6 know, Mr. Troiano, again like I say, with an eye
7 toward not running up a whole bunch of copying
8 costs, rather than -- Rule 34 of Civil Rules says
9 -- and I think ours is similar in this -- you
10 know, gives the option of the person responding to
11 request for production of documents to let you
12 just come there and look through them and whether
13 that might be a money saving, you know, cost
14 saving way to do it.

15 MR. TROIANO: It could be, Your Honor,
16 but my experience in how many years I've been
17 practicing is that typically you inspect documents
18 and then you want to make copies of the documents
19 So it's -- I'm not sure it really results in a
20 copying cost saving.

21 JUDGE GUTHRIDGE What I'm suggesting is
22 let's say if it turns out that there are no

1 documents that Sam Ghanem signed, no whatever
2 shipping documents that Washington Movers creates
3 when it does the shipping, turns out there were
4 none that he did, then, you know, having them
5 produce thousands of pages of documents, copy
6 thousands of pages and send them to you is a cost
7 that, you know -- if it's not going to find
8 anything --

9 MR. TROIANO: Well, I think the other
10 aspect of it, we're only talking about a two year
11 period, 2014 to 2015. So my guess is there's not
12 a ton of documents that --

13 JUDGE GUTHRIDGE: Do you know many
14 shipments they made, Mr. Patel, in that period?

15 MR. PATEL: I don't.

16 JUDGE GUTHRIDGE. Yeah, well, give it
17 some thought anyway.

18 MR. TROIANO: We will do our best.

19 JUDGE GUTHRIDGE: And, you know, and
20 also if, you know, if you need to copy the -- you
21 should go and look and it turns out you need to
22 copy them you wouldn't necessarily have to have

1 500 shipments, maybe 50 would do, so.

2 MR TROIANO: It depends on how much
3 evidence you want to see, Your Honor.

4 JUDGE GUTHRIDGE: Well, I mean if it
5 shows the -- you know, if it shows that he was
6 regularly -- you know, every month there's a --
7 you know, there's a shipment and when she was
8 involved sort of cuts against the fact that he was
9 no longer doing any work -- and then to have to 10
10 times that happen is that any less persuasive than
11 150 times if that happened, so.

12 Okay. Well, is there anything else?
13 Anything ought to be addressed at this point?

14 MR. PATEL: So where it stands at this
15 point is 90 days for the discovery, but then the
16 -- I mean does that mean --

17 JUDGE GUTHRIDGE: Nominally 90 days.
18 Maybe I'll make it to the end of June or something
19 like that.

20 MR. PATEL: And in the next two weeks
21 though I'll submit the banking records and the
22 insurance records.

1 JUDGE GUTHRIDGE: And the metadata if
2 you've got it.

3 MR. PATEL: To the Court and Mr
4 Troiano?

5 JUDGE GUTHRIDGE: Yeah And as I say,
6 give them Exhibit letters with -- I mean your next
7 one, as I say, would be H. And I think the way to
8 get it with the file with the Commission would
9 just be as a, you know, a notice of filing Exhibit
10 H, and if there are more, I, J, identifying, you
11 know, and then attach them and they'll file them
12 that way.

13 MR. TROIANO: So, Your Honor, should
14 this be considered as somewhat of a departure from
15 our rule on filing discovery with the Commission?

16 JUDGE GUTHRIDGE: I think so, at least
17 for those documents. But for your request for
18 admissions or request for production of documents
19 or interrogatories, I don't need those and I don't
20 need the responses. But these that I have -- you
21 know, that we've just been talking about I would
22 like to see them.

1 MR. PATEL: You said that two weeks --
2 April 7?

3 JUDGE GUTHRIDGE: Is that two weeks?

4 MR. PATEL: April 6 is two weeks.

5 MR. TROIANO: Yeah, that's two weeks,
6 April 6.

7 JUDGE GUTHRIDGE: Why don't you make it
8 April 7? It's a Thursday. I mean I know Rachel
9 doesn't like -- Rachel -- you know, they prefer
10 not to get filings, you know, late Friday
11 afternoon if they can help it. But I'll give you
12 the Thursday, whatever that is. Was that April 7?

13 MR. TROIANO: Yes.

14 JUDGE GUTHRIDGE: Okay.

15 MR TROIANO: And so just so I
16 understand the procedure, you will issue your
17 preliminary findings of fact --

18 JUDGE GUTHRIDGE: Right.

19 MR. TROIANO: -- sometime --

20 JUDGE GUTHRIDGE: Within the next day or
21 so.

22 MR. TROIANO: And then that will give

1 the parties an opportunity to review and either
2 object to them or --

3 JUDGE GUTHRIDGE: There were certain
4 findings that we talked about that Mr. Patel I
5 know expressed some -- and I think maybe you did
6 on a couple also -- and, you know, that -- again,
7 I'm going to eliminate the need for you to ask a
8 bunch of interrogatories about what we've already
9 talked about here.

10 MR. TROIANO: Oh, you've already cut
11 down some of my discovery this morning.

12 JUDGE GUTHRIDGE: Well, good; then I've
13 done my job. You know, just to try to get, you
14 know, out there and -- but, you know, it's not
15 like if you sign them -- you know, like if I give
16 you a couple of weeks to go over and you sign them
17 and then suddenly something miraculously appears
18 that I change my mind on it. I'm not saying in
19 two weeks that it's --

20 MR. TROIANO: And that's where I was
21 going. I assume that barring some type of
22 additional information which corrects that factual

1 finding, that factual finding should stand.

2 JUDGE GUTHRIDGE: Yes

3 MR. TROIANO: Okay.

4 JUDGE GUTHRIDGE: Yeah.

5 MR. TROIANO: So it envisions --

6 JUDGE GUTHRIDGE: So it becomes sort of
7 like a stipulation you might say.

8 MR. TROIANO: Okay.

9 JUDGE GUTHRIDGE: You know.

10 MR. PATEL: And then if there are any
11 new pieces of new information or objections those
12 are also I guess due around the same date that we
13 submit this -- like the April 7 date if there is
14 anything else that comes up we --

15 JUDGE GUTHRIDGE: Yeah. How about that?
16 Yeah, so April 7 for that, too. And so that means
17 -- you know, I should be -- I mean I was obviously
18 reading -- you know, I wasn't making these up on
19 the fly here. So it's all basically done. But
20 and then, you know, you either send them back with
21 no objections, or if you found something in that
22 two week period that says on this particular one,

1 even though yes, this Exhibit says that, there's
2 some other information, identify and produce that
3 along with it.

4 MR. TROIANO: Okay. I have nothing
5 further.

6 JUDGE GUTHRIDGE: Mr. Patel?

7 MR. PATEL: No, thank you.

8 JUDGE GUTHRIDGE: All right. Then we're
9 done. Thanks for coming

10 (Whereupon, at 11:02 a.m., the
11 HEARING was adjourned.)

12

13

* * * * *

14

15

16

17

18

19

20

21

22

1 CERTIFICATE OF NOTARY PUBLIC

2 DISTRICT OF COLUMBIA

3 I, Carleton J. Anderson, III, notary
4 public in and for the District of Columbia, do
5 hereby certify that the forgoing PROCEEDING was
6 duly recorded and thereafter reduced to print under
7 my direction, that the witnesses were sworn to tell
8 the truth under penalty of perjury; that said
9 transcript is a true record of the testimony given
10 by witnesses; that I am neither counsel for,
11 related to, nor employed by any of the parties to
12 the action in which this proceeding was called;
13 and, furthermore, that I am not a relative or
14 employee of any attorney or counsel employed by the
15 parties hereto, nor financially or otherwise
16 interested in the outcome of this action.

17

18

19 (Signature and Seal on File)

20 -----

21 Notary Public, in and for the District of Columbia

22 My Commission Expires: March 31, 2017